The period after 1962 marked a new phase in ICICI's operations. There was a recession in industrial growth and ICICI's role as a development bank came into sharper focus. Many companies were unable to meet their repayment commitments and some found themselves short of finance to complete their projects. ICICI perceived its role as a development bank to create and not to destroy, to take a long-term view and not be swayed by temporary difficulties. ICICI rescheduled repayment obligations and provided additional finance to companies as required. There were suggestions from ICICI's shareholders at annual meetings that ICICI should give loans and not underwrite issues because of adverse stock market conditions. The shareholders were told that it was precisely at such a time that the capital markets needed the support of development banks.

At that time the public response to public issue of shares was so poor that when ICICI underwrote public issues of shares, it knew quite well that it would have to take up a large proportion of them. It was at this time that G.L. Mehta's quip of 'underwriters have become undertakers' became quite popular. The acronym ICICI was also sometimes the subject of humour, digs, and puns. Mehta noted how soon after ICICI was set up, some wag in the RBI is said to have accused it of being egoistic (I see I see I—it saw only itself). Prof. John Kenneth Galbraith, when he was the American Ambassador in New Delhi, told Mehta once that while the ICICI was doing good work, it reminded him of frozen credits (ice). Perhaps the best was when a banker in Philadelphia in 1966 after welcoming Mehta said, 'You are Chairman of ICICI…please tell me when to stop.'[27] Mehta himself was known for his wit and humour. While talking about ICICI, he observed that the name ICICI contains two 'seas' and three 'eyes'. The two 'seas' reflected the connection between the Pacific Ocean (World Bank) and the Arabian Sea (India). While each person has two eyes, ICICI had three, and the third could be opened, like Lord Shiva, when the client seriously defaulted.[28]

In 1964, ICICI could have lost the services of Parekh had he decided to take up P.C. Bhattacharyya's offer. Bhattacharya, who had by then become the RBI Governor, wanted Parekh to head IDBI (which in effect meant that Parekh was being offered a Deputy Governorship of the RBI). Bhattacharyya approached Mehta, and asked for Parekh's services as the IDBI chief. Mehta immediately called Parekh to his home and said that it